

Profit Niti – AI Report [2025-01-01 / 2025-10-31]

Last Month KPI Data (October 2025)



Sales

0

0% Last month 0



Gross Margin

0

0% Last month 0



Operating Profit

0

0% Last month 0



Break Even Sales

0

0% Last month 0



Accounts Receivable

0

0% Last month 0



Accounts Payable

0

0% Last month 0



Working Capital

0

0% Last month 0



Closing Stock

0

0% Last month 0



BS Category

0 - SHAKY

0% Last month 0 - SHAKY



IMPACT OF MANAGEMENT

DECISIONS

0

0% Last month 0



1. Big Picture — How the Business Looks Right Now

The business is in a critical financial position, operating at a significant loss. For the last quarter of FY 2024-25, sales were ₹3,715 lakhs, but the cost of goods sold was a staggering ₹5,702 lakhs, leading to a gross loss of ₹1,986 lakhs. This negative trend continued into the first month of the new financial year (April 2025), with a monthly loss of over ₹602 lakhs. The company's total equity is deeply negative at approximately -₹4,078 lakhs, meaning accumulated losses have completely eroded the capital and reserves. While there is some cash in the bank (₹2,179 lakhs in April), the business is heavily reliant on borrowings and other liabilities to fund its operations.

GREEN FLAG BOX — What's Working Well

- **Strong Revenue Scale:** The business is generating substantial monthly revenue, crossing ₹1,535 lakhs in March 2025, indicating a significant market presence and sales volume.
- **Controlled Overhead Costs:** Selling and administrative expenses are relatively low as a percentage of sales (around 1.7%-2.2%), showing efficiency in managing fixed operational costs.
- **Healthy Cash Balance:** Despite losses, the company maintains a stable cash and bank balance of over ₹2,179 lakhs, providing a crucial buffer for immediate liquidity needs.

RED FLAG BOX — What Needs Attention

- **Severe & Consistent Losses:** The core business model is unprofitable. Every rupee of sales is costing more than a rupee to produce, with a gross margin of -60.67% in April 2025. This is unsustainable.
- **Negative Net Worth (Eroded Equity):** Total equity stands at -₹4,078 lakhs. This is a major financial distress signal, impacting creditworthiness and long-term solvency.
- **High Reliance on Creditors:** "Other Current Liabilities" have ballooned to ₹12,651 lakhs, suggesting heavy dependence on vendor credit and other short-term obligations to fund daily operations and losses.

Strategic Advice:

Immediate priority must be a complete review of your cost of goods sold (COGS). You are selling at a massive loss. You must either renegotiate purchase prices with suppliers, increase your sales prices, or both, to achieve a positive gross margin. Concurrently, prepare a strict cash flow plan to manage the high outstanding liabilities and avoid a cash crunch, as the current model is burning through your financial reserves.